European Cross-Commodity Risk Monitor

07 May 2026 | v12.0 | Gas + Carbon -> Power Curve | Author: Clifford Pang

1. Metrics Snapshot

Metric	Value	Signal	Change
TTF Gas Price	EUR43.79/MWh	45-55: Moderate	-7.8% (30d)
TTF Realized Vol	88.4%	Very High (>50%)	30d annualised
EU Storage	34.07%	Critical (-16.0pp)	vs 50.1% avg
EUA Carbon	EUR72.9/tCO2	65-75: Constructive	Cost/MWh: EUR29.2
German DA Power	EUR62.5/MWh	-	-
German 1Y Forward	EUR91.65/MWh	-	Prem: EUR29.2
Spark Spread	EUR-54.2/MWh	NEGATIVE -> Bullish	Gas unprofitable

2. Risk Assessment

RISK LEVEL: HIGH | Score: 6 / 10

Gas: Moderate | Volatility: Very High | Storage: Critical | EUA: Normal

3. Analyst Desk Note (generated by llama3.1)

MARKET OVERVIEW

The European energy market remains in a state of high volatility, driven by ongoing concerns over winter 2026/27 gas supply. The TTF price has dipped to EUR43.79/MWh, while EUA carbon prices have surged to EUR72.9/tCO?. This volatile mix is pressuring power generators, with spark spreads indicating that gas-fired plants are currently unprofitable.

KEY DRIVERS

- TTF signal remains at moderate tightness (45-55 EUR/MWh), indicating ongoing supply concerns.
- EU storage stands critically low (< -10pp) versus monthly average, signaling urgent need for replenishment.
- EUA carbon price is constructive (65-75 EUR/t), driving up power costs and making gas-fired plants less competitive.
- Spark spread remains below EUR0/MWh, highlighting unprofitability of gas generation.

RISK ASSESSMENT

The risk level has been elevated to HIGH (6/10), driven by Very High volatility in the market. Moderate tightness in TTF supply is compounded by Critically low storage levels and Very High EUA prices, which collectively point to a strongly bullish bias for winter 2026/27 power curves.

TRADING RECOMMENDATION

We recommend considering long positions on the winter 2026/27 power curve, driven by our expectation of sustained high volatility and tightening gas markets.

RISKS TO VIEW

- Key upside risk: a sudden improvement in global gas supply dynamics, potentially driven by new LNG contracts or regional discoveries.
- Downside risk: an unexpected relaxation in EUA price trends due to changes in global emissions policies or unforeseen economic developments.

4. Charts

Chart 1: EU Gas Storage vs 5-Year Average

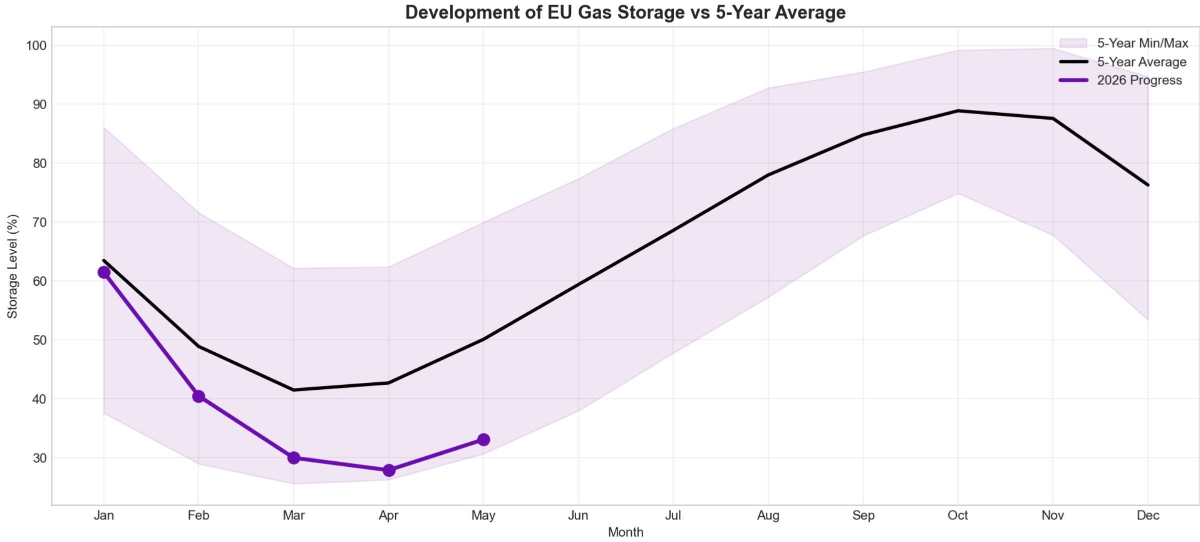


Chart 2: TTF Price vs EU Storage (6-Month)

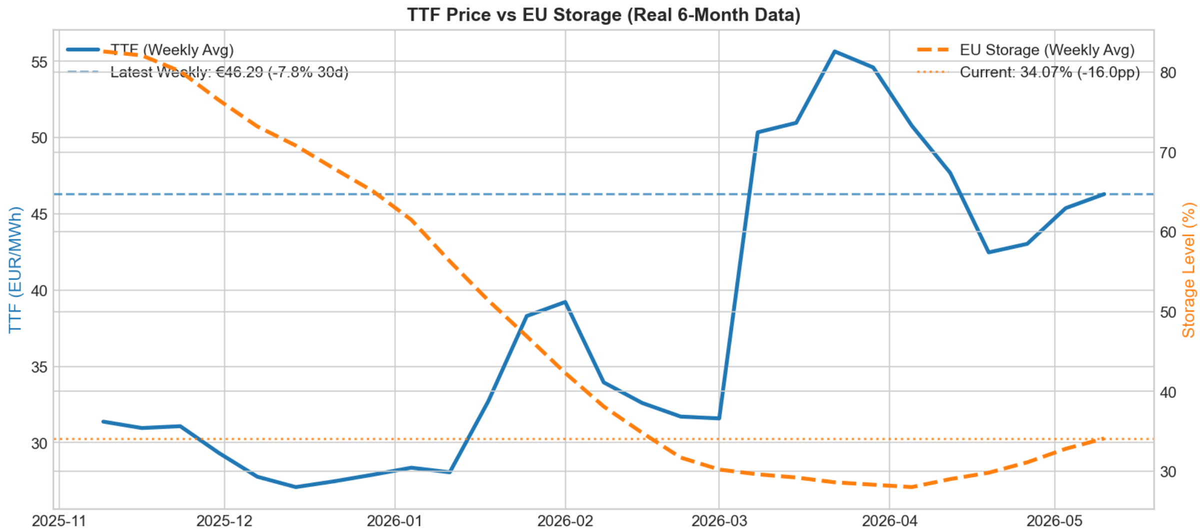
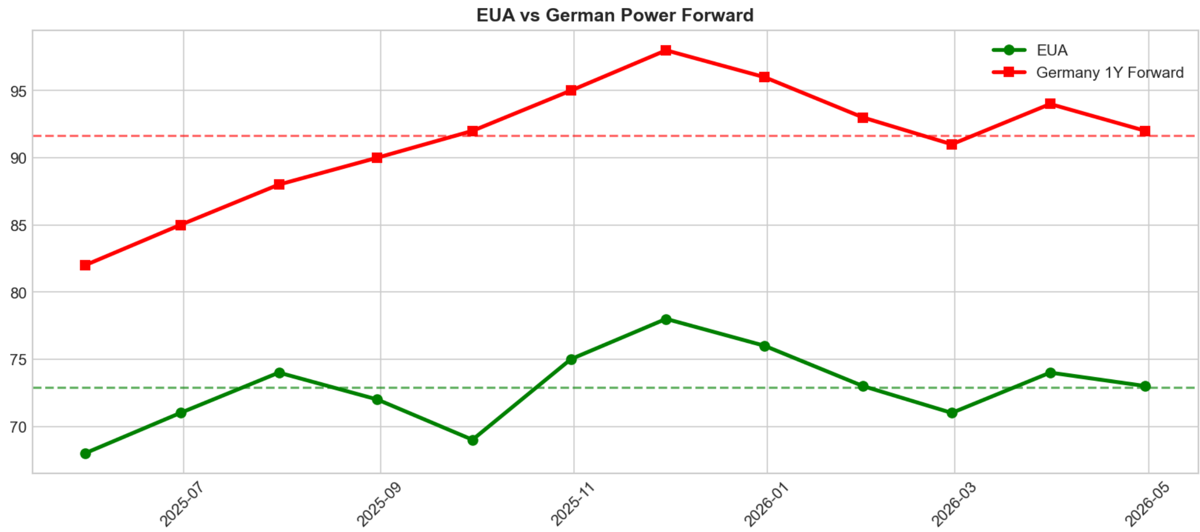


Chart 3: EUA vs German Power Forward



4. Charts (continued)

Chart 4: Price & Storage Dashboard

Chart 5: TTF Price vs 30-Day Realized Volatility